GMS WEEKLY

Your Source for Recycling News

July 28th, 2023
Volume 251, Issue 1093
Week 30

Highlights:

- **Negative.**
- **Monsoon slows.**
- **Container sale.**
- **Pakistan enquires.**
- **India low.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"Learn as if you will live forever, live like you will die tomorrow."

– Mahatma Gandhi

MARKET COMMENTARY

POORLY POISED!

Recycling sentiments remain negative overall, and it seems to now be a declining market of one that's frustratingly left with very few open Recyclers who are simply unwilling to offer realistically on the few vessels that are currently available in the market.

Ravaging monsoon rains are the leading cause of the ongoing slowdown in the sub-continent as minimal cutting / recycling activities at yards is taking place and as such, the market is barely moving forward with the minor number of vessels being committed.

There is no question that Cash Buyers and Vessel Owners are unaccepting of some of the opportunistic offers being put out there and as such, we are witnessing something of a standoff on any number of unsold vessels at present.

The one confirmed sale for the week saw a Sinokor controlled container that was committed for an extraordinary price into Bangladesh, but we would like to caution our readers that this is not a true reflection of current market conditions at all, and it increasingly seems to be that just one particularly hot Buyer who was able to arrange L/C limits / bank financing on a favored small LDT unit.

Encouragingly, enquiries have been emerging from Pakistan as well, and it may take one or two confirmed sales and beachings to go through, what would inevitably (and eventually) establish a new direction for Cash Buyers and Gadani Recyclers, for clearing L/Cs & various other payment issues, especially having been out of the game for so long.

India once again slips to the lowest placed of all sub-continent markets and as the supply of green ships and specialist units dries up, Alang Buyers are seeing minimal tonnage and new arrivals, as evident from this week's local port position, which reported no fresh arrivals.

Finally, the Turkish market remains suspended in no-man's land (just like the sub-continent markets), with the Lira briefly breaching TRY 27 and no movement reported in steel prices.

For week 30 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh*	Weak	540 / LDT	570 / LDT	590 / LDT
2	Pakistan*	Weak	520 / LDT	540 / LDT	560 / LDT
3	India	Weak	500 / LDT	520 / LDT	540 / LDT
4	Turkey	Weak	300 / LDT	310 / LDT	320 / LDT

**Subject L/C approval*

BANGLADESH

MARKET OF ONE!

Sale over 600.

The big news this week surrounded a well-above market sale of a Sinokor container as the SINOKOR TIANJIN (4,672 LDT) managed to fetch an astonishing USD 622/LT LDT on a delivered basis.

The sale included about 250 Tons of bunkers (about USD 10/LT worth) and the favored small LDT unit has likely assisted the Vessel Owners in achieving a big price, as more Buyers could obtain USD / Ton financing on smaller LDT vessels.

Withdrawing.

Nevertheless, it is certain that it is an above-market sale of one into Chattogram, especially as very few End Buyers are actively pursuing tonnage at sensible levels.

The ongoing incessant rains are hampering domestic construction projects in the country as well as ship-recycling activities, in addition to domestic fundamentals that are jointly degrading local sentiments. Not only have local steel plate prices declined by nearly USD 20/Ton this week, but the Bangladeshi Taka also continues to languish at record-lows against the U.S. Dollar - at nearly BDT 108.50.

As such, Cash Buyers and Vessel Owners are withdrawing sales candidates from this market, or are simply diverting them to other markets, or continuing to trade them while sentiments, demand, ability to perform (amidst ongoing strained financing and Central Bank LC approvals), and pricing remain so low at present.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
SINOKOR TIANJIN	Container	4,672	USD 622/LT LDT (with 250 Ts bunkers)

INDIA

LOWLY!

India slips once again to become the lowest placed sub-continent destination as Alang Buyers started placing opportunistic numbers – even below USD 500/LDT on occasion on any proposed tonnage, which is subsequently drying up the local market of tonnage.

Opportunistic.

No new vessels arrived Alang anchorage this week, with only one beaching of a prior arrival from last week. Even an emerging Pakistani market (albeit a market with ongoing LC / financing difficulties) is now ahead of India on pricing.

Fundamentals continue to crisscross in opposite directions as volatile steel plate prices firmed marginally this week, all while the Indian Rupee deteriorated past Rs. 82 against the U.S. Dollar once again.

Steel fall.

Accordingly, the only constructive way forward for Alang Buyers will be to raise their game and offer realistic levels, should they wish to secure vessels moving forward.

NO MARKET SALES REPORTED

PAKISTAN

EMERGING!

Demand increase.

Pakistan has started to re-enter the game in recent weeks, as enquiries for various working vessels have started to be fielded by Pakistani Recyclers after a year (and then some) of being out of the game.

As domestic financials (and the Pakistani economy overall) have gained a degree of stability amidst the incoming financial bailout from the IMF, we can only hope that funding for the domestic ship recycling sector may eventually get a slice of the incoming pie.

HKC needs.

It will certainly take a couple of sales to see how L/C approvals will unravel moving forward and in order to import & beach ships in Gadani once again, all while domestic fundamentals continue to suffer.

The Pakistani Rupee is still in the high PKR 280s against the U.S. Dollar as local steel plate prices remain flat for months on end.

Of course, local Buyers will also need to upgrade their facilities (like India and Bangladesh have been busy doing) up to HKC standards, as the convention is due to be finally entered into force and officially in 2025.

NO MARKET SALES REPORTED

TURKEY

DULL WEEK!

Aliaga is now going through a lull after last week's decline in prices, as these sudden low offers (some reportedly even below USD 300/MT) are probably not going to entice many Ship Owners or even Cash Buyers to successfully complete a sale into Turkey, other than market proposed EUSRR specific units, of which, we have not seen any for a while.

Below USD 300/MT.

Fundamentals continue to affect local pricing as the Lira remains weakened at record levels, briefly surpassing TRY 27 against the U.S. Dollar, while local steel plate prices reportedly recorded no changes this week, after both import and local steel reported noteworthy declines last week.

Remains on ice.

Other than the summer heat burning up the nation, everything recycling remains on ice.

NO MARKET SALES REPORTED

INTERESTING SCIENCE FACTS

- *One of the moons of Saturn, called Mimas, is heavily cratered. This creates an odd appearance similar to the Death Star in Star Wars!*
- *The largest dwarf planet in our solar system is Eris. It orbits the sun at three times the distance of Pluto.*
- *The Oort cloud is the farthest object in the solar system. The Oort cloud is a belt much like our asteroid belt that contains trillions of icy bodies. It's up to 2000 times farther away than Eris.*
- *If the planet Saturn was placed in water, it would float.*
- *The dwarf planet Ceres (located in the asteroid belt) contains more fresh water than all of Earth's fresh water combined.*
- *Even though there are so many objects in our solar system, the sun still accounts for 99.8 percent of the total mass of our solar system.*
- *There are more life forms living on the surface of your skin than there are people inhabiting the Earth.*
- *The skin of an average human replaces itself 900 times during one lifetime.*
- *The average person produces about 25 thousand quarts of saliva in a lifetime. That about enough to fill two swimming pools.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
July 28 – July 29 – Ashura August 15 – Independence Day August 31 – Raksha Bandhan	July 30 – August 07 August 14 – August 20 August 28 – September 06

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
July 29 – Ashura August 15 – National Mourning Day	August 01 – August 04 August 16 – August 19 August 30 – September 02

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No Holidays in July & August	July 27 – July 28 – Ashoora August 14 – Independence Day	August 30 – Victory Day

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ALANG - Port Position as of July 28, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Green Explorer*	*2,435*	*Reefer*	*Beached July 28*
Total Tonnage		**2,435**		

CHATTOGRAM - Port Position as of July 28, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Beauty	9,502	Bulk Carrier	Arrived July 27
2	Fu Sheng	10,780	Bulk Carrier	Arrived July 21
3	Hong Da Xin 18	3,661	Container	Arrived July 28
4	Santa	804	Fishing Vessel	Arrived July 26
5	*Victory*	*3,045*	*Reefer*	*Beached July 24*
6	Well Win	8,940	Bulk Carrier	Arrived July 11
7	Xin Hai Zhou 7	6,496	General Cargo	Arrived July 21
Total Tonnage		**43,227**		

GADANI - Port Position as of July 28, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

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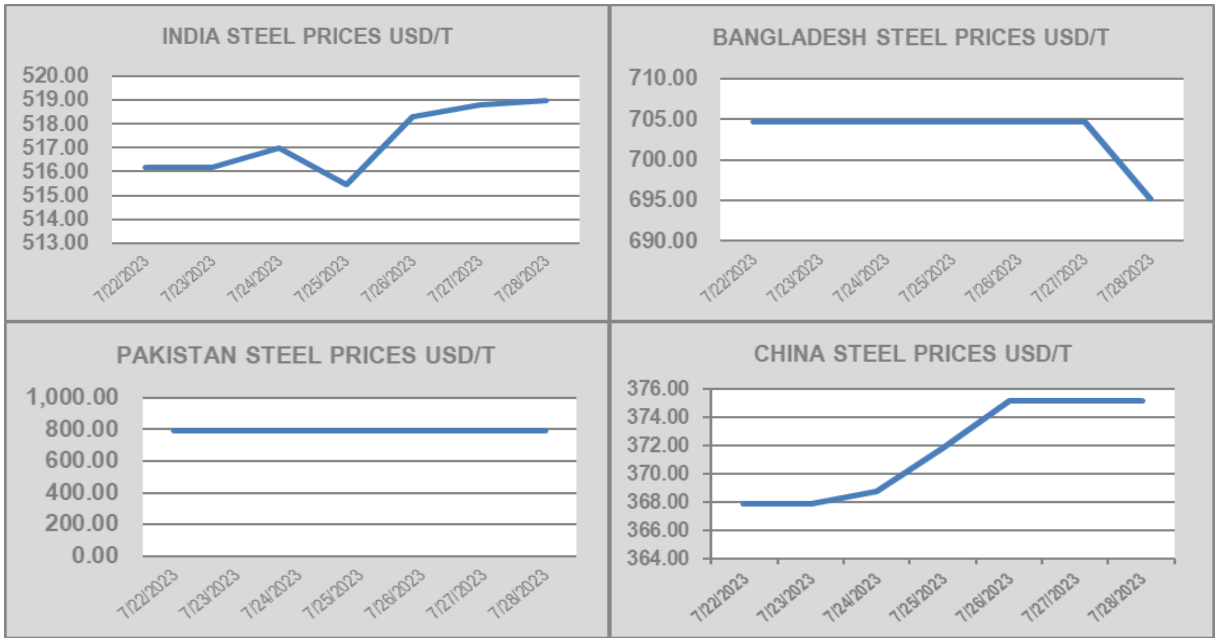
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
7/22/2023	516.17	42,300.00	794.22	220,000.00	704.76	74,000.00	367.90
7/23/2023	516.17	42,300.00	794.22	220,000.00	704.76	74,000.00	367.90
7/24/2023	516.99	42,300.00	794.22	220,000.00	704.76	74,000.00	368.78
7/25/2023	515.45	42,200.00	794.22	220,000.00	704.76	74,000.00	371.82
7/26/2023	518.29	42,500.00	794.22	220,000.00	704.76	74,000.00	375.20
7/27/2023	518.80	42,500.00	794.22	220,000.00	704.76	74,000.00	375.20
7/28/2023	518.96	42,700.00	794.22	220,000.00	695.24	73,000.00	375.20



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